

BANKING STRUCTURE, NBFCS AND FINANCIAL REGULATION

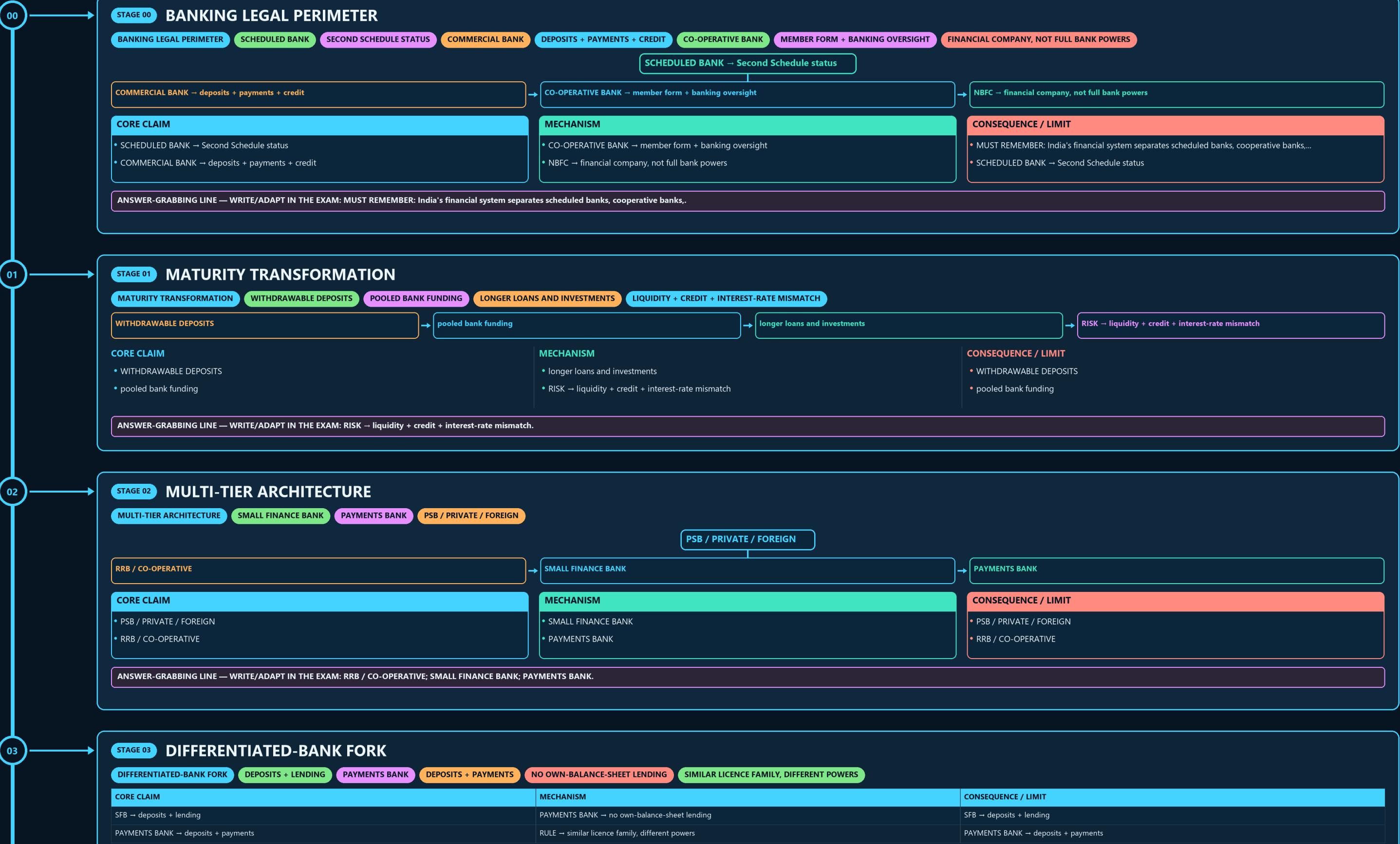
BANKING LEGAL PERIMETER → MATURITY TRANSFORMATION → MULTI-TIER ARCHITECTURE → DIFFERENTIATED-BANK FORK → RURAL-CREDIT MAP → PSL TARGET BOARD

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



• RRB / CO-OPERATIVE

• PAYMENTS BANK

• RRB / CO-OPERATIVE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RRB / CO-OPERATIVE; SMALL FINANCE BANK; PAYMENTS BANK.

03

STAGE 03

DIFFERENTIATED-BANK FORK

DIFFERENTIATED-BANK FORK

DEPOSITS + LENDING

PAYMENTS BANK

DEPOSITS + PAYMENTS

NO OWN-BALANCE-SHEET LENDING

SIMILAR LICENCE FAMILY, DIFFERENT POWERS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SFB → deposits + lending	PAYMENTS BANK → no own-balance-sheet lending	SFB → deposits + lending
PAYMENTS BANK → deposits + payments	RULE → similar licence family, different powers	PAYMENTS BANK → deposits + payments
CORE CLAIM • SFB → deposits + lending • PAYMENTS BANK → deposits + payments	MECHANISM • PAYMENTS BANK → no own-balance-sheet lending • RULE → similar licence family, different powers	CONSEQUENCE / LIMIT • SFB → deposits + lending • PAYMENTS BANK → deposits + payments

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PAYMENTS BANK → no own-balance-sheet lending; RULE → similar licence family, different powers.

04

STAGE 04

RURAL-CREDIT MAP

RURAL-CREDIT MAP

RURAL INTERMEDIARY

LEAD BANK

DISTRICT COORDINATION

SERVICE AREA

LOCAL RESPONSIBILITY

COVERAGE DOES NOT ENSURE VIABLE CREDIT

LEAD BANK → district coordination

SERVICE AREA → local responsibility

LIMIT → coverage does not ensure viable credit

RRB → rural intermediary

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• RRB → rural intermediary	• SERVICE AREA → local responsibility	• RRB → rural intermediary
• LEAD BANK → district coordination	• LIMIT → coverage does not ensure viable credit	• LEAD BANK → district coordination

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → coverage does not ensure viable credit.

05

STAGE 05

PSL TARGET BOARD

PSL TARGET BOARD

MOST DOMESTIC BANKS

40 PER CENT OVERALL

18 PER CENT

SMALL/MARGINAL FARMERS

10 PER CENT

WEAKER SECTIONS

12 PER CENT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MOST DOMESTIC BANKS → 40 per cent overall	SMALL/MARGINAL FARMERS → 10 per cent	MOST DOMESTIC BANKS → 40 per cent overall
AGRICULTURE → 18 per cent	WEAKER SECTIONS → 12 per cent	AGRICULTURE → 18 per cent
CORE CLAIM • MOST DOMESTIC BANKS → 40 per cent overall • AGRICULTURE → 18 per cent	MECHANISM • SMALL/MARGINAL FARMERS → 10 per cent • WEAKER SECTIONS → 12 per cent	CONSEQUENCE / LIMIT • MOST DOMESTIC BANKS → 40 per cent overall • AGRICULTURE → 18 per cent

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MOST DOMESTIC BANKS → 40 per cent overall.

06

STAGE 06

PSL STATUS GATE

PSL STATUS GATE

TARGETS COME FROM RBI MASTER DIRECTIONS

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

TARGETS COME FROM RBI MASTER DIRECTIONS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• TARGETS COME FROM RBI MASTER DIRECTIONS	• QUOTE THE EFFECTIVE DIRECTION	• TARGETS COME FROM RBI MASTER DIRECTIONS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MOST DOMESTIC BANKS → 40 per cent overall.

06

STAGE 06 PSL STATUS GATE

PSL STATUS GATE TARGETS COME FROM RBI MASTER DIRECTIONS CATEGORIES AND SUB-TARGETS CAN CHANGE QUOTE THE EFFECTIVE DIRECTION DO NOT CALL A RATIO PERMANENT

TARGETS COME FROM RBI MASTER DIRECTIONS

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

CORE CLAIM

- TARGETS COME FROM RBI MASTER DIRECTIONS
- CATEGORIES AND SUB-TARGETS CAN CHANGE

MECHANISM

- QUOTE THE EFFECTIVE DIRECTION
- DO NOT CALL A RATIO PERMANENT

CONSEQUENCE / LIMIT

- TARGETS COME FROM RBI MASTER DIRECTIONS
- CATEGORIES AND SUB-TARGETS CAN CHANGE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: QUOTE THE EFFECTIVE DIRECTION; DO NOT CALL A RATIO PERMANENT.

07

STAGE 07 NBFC CONTAGION CHAIN

NBFC CONTAGION CHAIN WHOLESALE FUNDING + MATURITY MISMATCH DHFL STRESS MUTUAL FUNDS + BANKS + MARKETS NON-BANK STRESS CAN BE SYSTEMIC

WHOLESALE FUNDING + MATURITY MISMATCH

IL&FS / DHFL stress

mutual funds + banks + markets

LESSON → non-bank stress can be systemic

CORE CLAIM

- WHOLESALE FUNDING + MATURITY MISMATCH
- IL&FS / DHFL stress

MECHANISM

- mutual funds + banks + markets
- LESSON → non-bank stress can be systemic

CONSEQUENCE / LIMIT

- WHOLESALE FUNDING + MATURITY MISMATCH
- IL&FS / DHFL stress

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: mutual funds + banks + markets; LESSON → non-bank stress can be systemic.

08

STAGE 08 DEPOSITOR PROTECTION BOUNDARY

DEPOSITOR PROTECTION BOUNDARY ELIGIBLE BANK DEPOSITS OWNER CAP RS 5 LAKH PER DEPOSITOR PER BANK SECURITIES + INSURANCE + ORDINARY NBFC CLAIMS PREVENTION, NOT PAYOUT

DICGC → eligible bank deposits

OWNER CAP → Rs 5 lakh per depositor per bank

OUT → securities + insurance + ordinary NBFC claims

PCA → prevention, not payout

CORE CLAIM

- DICGC → eligible bank deposits
- OWNER CAP → Rs 5 lakh per depositor per bank

MECHANISM

- OUT → securities + insurance + ordinary NBFC claims
- PCA → prevention, not payout

CONSEQUENCE / LIMIT

- DICGC → eligible bank deposits
- OWNER CAP → Rs 5 lakh per depositor per bank

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OUT → securities + insurance + ordinary NBFC claims.

09

STAGE 09 REGULATORY PERIMETER

REGULATORY PERIMETER BANKS + NBFCs + PAYMENTS CROSS-SECTOR COORDINATION CLOSE DISTINCTION BANK IS NOT NBFC, DEPOSIT-TAKING PERMISSION IS NOT UNIVERSAL

RBI → banks + NBFCs + payments

SEBI → securities

IRDAI / PFRDA → insurance / pensions

FSDC → cross-sector coordination

CORE CLAIM

- RBI → banks + NBFCs + payments
- SEBI → securities

MECHANISM

- IRDAI / PFRDA → insurance / pensions
- FSDC → cross-sector coordination

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,...
- RBI → banks + NBFCs + payments

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,.

09

STAGE 09 REGULATORY PERIMETER

REGULATORY PERIMETER BANKS + NBFCs + PAYMENTS CROSS-SECTOR COORDINATION CLOSE DISTINCTION BANK IS NOT NBFC, DEPOSIT-TAKING PERMISSION IS NOT UNIVERSAL

RBI → banks + NBFCs + payments

SEBI → securities

IRDAI / PFRDA → insurance / pensions

FSDC → cross-sector coordination

CORE CLAIM

- RBI → banks + NBFCs + payments
- SEBI → securities

MECHANISM

- IRDAI / PFRDA → insurance / pensions
- FSDC → cross-sector coordination

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,...
- RBI → banks + NBFCs + payments

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,.

10

STAGE 10 BALANCE-SHEET AND INCLUSION TRAPS

BALANCE-SHEET AND INCLUSION TRAPS ACCESS + USAGE + QUALITY SHARED EXPOSURE, NOT ZERO RISK EVIDENCE LIMIT IDENTIFY REGULATOR, STATUTE/DIRECTION

LOANS / INVESTMENTS → assets

DEPOSITS → liabilities

FI-INDEX → Access + Usage + Quality

SYNDICATION → shared exposure, not zero risk

CORE CLAIM

- LOANS / INVESTMENTS → assets
- DEPOSITS → liabilities

MECHANISM

- FI-INDEX → Access + Usage + Quality
- SYNDICATION → shared exposure, not zero risk

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify regulator, statute/direction,...
- LOANS / INVESTMENTS → assets

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify regulator, statute/direction,.

11

STAGE 11 FINANCIAL-REGULATION ANSWER SPINE

FINANCIAL-REGULATION ANSWER SPINE CLASSIFY INSTITUTION AND POWERS MAP FUNDING + LEVERAGE + SAFETY NET TRACE CONTAGION AND SUPERVISION BALANCE INCLUSION, DIVERSITY AND STABILITY

CLASSIFY institution and powers

MAP funding + leverage + safety net

TRACE contagion and supervision

BALANCE inclusion, diversity and stability

CORE CLAIM

- CLASSIFY institution and powers
- MAP funding + leverage + safety net

MECHANISM

- TRACE contagion and supervision
- BALANCE inclusion, diversity and stability

CONSEQUENCE / LIMIT

- CLASSIFY institution and powers
- MAP funding + leverage + safety net

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE contagion and supervision; BALANCE inclusion, diversity and stability.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT BANKING COMBINES LEVERAGE, RUNNABLE LIABILITIES AND MATURITY TRANSFORMATION, WHICH NBFC VULNERABILITY OFTEN COMES FROM WHOLESALE FUNDING, ASSET-LIABILITY MISMATCH

SCALE-BASED REGULATION SEEKS PROPORTIONALITY WHILE TIGHTENING RULES AS SYSTEMIC CONSOLIDATED SUPERVISION IS NECESSARY WHEN RISKS MOVE ACROSS GROUP RESOLUTION REGIMES SHOULD PROTECT CRITICAL FUNCTIONS WITHOUT GUARANTEEING SHAREHOLDERS

COMPETITION POLICY, CONSUMER PROTECTION, CYBER RESILIENCE AND PRUDENTIAL SAFETY REGULATES BANKS, CO-OPERATIVE BANKING FUNCTIONS AND SPECIFIED NBFC CATEGORIES.

OPTIONAL SOURCE DEPTH

- CAUTION: Banking combines leverage, runnable liabilities and maturity transformation, which
- CAUTION: NBFC vulnerability often comes from wholesale funding, asset-liability mismatch and
- CAUTION: Scale-based regulation seeks proportionality while tightening rules as systemic
- CAUTION: Consolidated supervision is necessary when risks move across group entities or market

ADVANCED DEBATE

- CAUTION: Resolution regimes should protect critical functions without guaranteeing shareholders
- CAUTION: Competition policy, consumer protection, cyber resilience and prudential safety are
- RBI: regulates banks, co-operative banking functions and specified NBFC categories.
- DICGC: insures eligible deposits in covered banks within the statutory framework.

LEGACY / NUANCE

- SEBI, IRDAI and PFRDA: regulate securities, insurance and pension sectors
- Financial Stability and Development Council: supports inter-regulatory coordination
- CAUTION: A bank can offer demand deposits and payment services; an ordinary NBFC cannot issue
- CAUTION: A wholesale-funded NBFC can face a rollover crisis even without retail deposit

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.